

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant and consistent loss. For the last quarter of FY 2024-25, the company reported a net loss of over ₹2,059 Crores on sales of ₹3,715 Crores, indicating a severe profitability crisis. The balance sheet shows negative total equity of over ₹325 Crores, meaning the company's liabilities far exceed its assets, eroding shareholder value. While there is a high volume of sales activity, the core issue is that the cost of goods sold is dramatically higher than revenue, leading to deeply negative gross margins.

GREEN FLAG BOX — What's Working Well

- **Strong Revenue Scale:** The business generates substantial top-line revenue, exceeding ₹3,700 Crores in the last quarter, demonstrating significant market presence and sales volume.
- **Effective Debt Management:** Secured long-term borrowings have been reduced consistently, from ₹383 Crores in Jan'25 to ₹266 Crores in Apr'25, improving the debt profile.
- **Healthy Cash Balance:** The company maintains a robust cash and bank balance of over ₹217 Crores, providing essential liquidity for day-to-day operations.

RED FLAG BOX — What Needs Attention

- **Severe and Chronic Losses:** The company is burning cash with massive net losses (e.g., ₹602 Crores in Apr'25 alone). Gross margin is deeply negative at -60.67%, meaning core operations are fundamentally unprofitable.
- **Negative Shareholders' Equity:** Total equity is negative ₹407 Crores, indicating technical insolvency where liabilities exceed assets, posing a major risk to business continuity.
- **Inefficient Working Capital Cycle:** Accounts Receivable days are high (14 days in Apr'25), while Payable days are extremely low (0.16 days), straining cash flow as you pay suppliers much faster than you collect from customers.

CFO Advice:

Immediate survival depends on fixing the gross profit margin. You must launch a urgent cost restructuring program to align COGS with sales prices. Simultaneously, renegotiate supplier payment terms to extend payable days and aggressively chase customer collections to free up trapped cash.